

Economic Dynamism and Local Government Centralization

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September 16, 2026

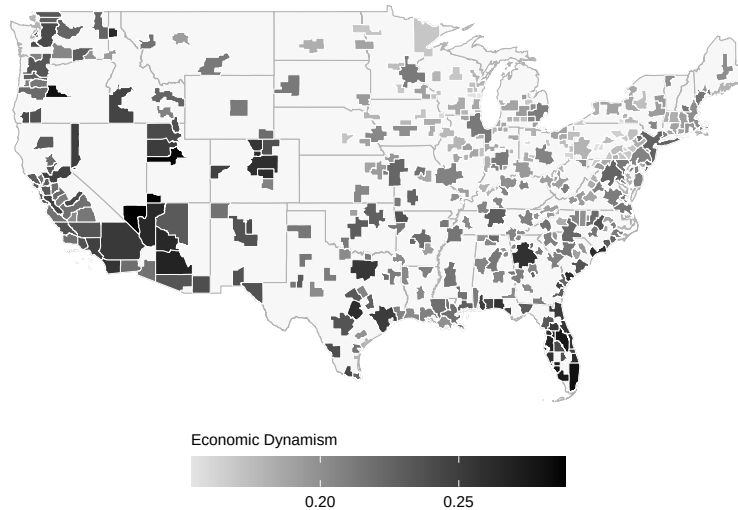
Abstract

Economic dynamism, the reallocation of economic resources through establishment entry and exit, exhibits persistent cross-sectional variation across U.S. metropolitan areas. While recent spatial macroeconomic models explain the divergence across city sizes via scale-biased technology adoption and worker sorting, they do not account for why metropolitan areas of comparable population, land area, and human capital sustain permanently different rates of dynamism. We show that the local government organization is a central driver of this variation. Using historical post office closures from the 1902 rollout of Rural Free Delivery to instrument for contemporary local government centralization, we find that a one-standard-deviation increase in centralization raises economic dynamism by over half a standard deviation. Centralization also predicts three downstream features of dynamic economies: higher generative AI adoption, greater labor specialization, and larger unemployment spikes during recessions. Contrary to the view that jurisdictional competition necessarily disciplines local governance, our evidence suggests that fragmented metropolitan governance weakens extensive-margin market selection by reducing entry and exit and shifting activity toward older incumbents, a pattern consistent with incumbent protection as a source of misallocation.

1 Introduction

Economic growth relies on creative destruction (Schumpeter 1942; Aghion and Howitt 1992) and it operates chiefly through establishment entry and exit, as new establishments displace incumbents whose technology or products have become obsolete (Asturias et al. 2023). In the United States, metropolitan areas vary widely and persistently in the level of establishment entry and exit - “business dynamism” (see Figure 1). A growing literature explains why dynamism diverges across U.S. metropolitan areas using market forces such as city scale, technology adoption, and human capital. Although a metropolitan area can function as an integrated market, local government jurisdiction over the area is organized in fundamentally different ways, ranging from consolidated county systems to dozens of independent municipalities. In theory, dividing authority among competing jurisdictions could foster dynamism through local competition, or suppress it if smaller governments face stronger incentives to protect incumbent firms. We ask whether the organization of local government—specifically, the degree to which public authority is centralized or fragmented—explains persistent differences in establishment entry rates across metropolitan economies in the United States.

Figure 1: Economic Dynamism Across MSAs



Notes: Geographic distribution of average economic dynamism across 378 metropolitan statistical areas (MSAs). Economic dynamism is measured as annual establishment entries plus establishment exits divided by the total establishment stock, drawn from the Census Business Dynamics Statistics (BDS) over 1979–2019. Darker shading indicates higher economic dynamism.

To evaluate how local governance affects establishment reallocation, we study 378 metropolitan statistical areas (MSAs) over the period 1979–2019. We measure economic dynamism as the annual sum of establishment entry and exit divided by the existing establishment stock, drawn from the Census Business Dynamics Statistics (BDS). We measure local government structure using the centralization index developed by Wiedemann (2026), which captures the concentration of public employment across local jurisdictions after accounting for metropolitan population and land area. To address the endogeneity of local government boundaries, we instrument for contemporary centralization using historical post office closures from the 1902 rollout of Rural Free Delivery (RFD). RFD rendered thousands of rural post offices obsolete, providing an exogenous measure of historical settlement dispersion. Areas with more settlement nodes had more margins for defensive incorporation during subsequent urban growth, leading to more fragmented contemporary governance.

Our instrumental-variables estimates indicate that local government centralization has a large, positive effect on economic dynamism: a one-standard-deviation increase in centralization raises dynamism by over half a standard deviation. Centralization increases both entry and exit by comparable magnitudes, and the result is robust to controlling for initial human capital levels in 1980 and subsequent human capital growth. Centralization also alters the composition of employment flows. In centralized MSAs, establishment entry accounts for a larger share of gross job creation, exit accounts for a larger share of gross job destruction, and both entering and exiting establishments are larger on average. In decentralized MSAs, employment gains and losses occur predominantly through the expansion and contraction of continuing establishments.

Centralization also predicts three downstream characteristics of dynamic local economies. First, working-age residents in centralized MSAs adopt artificial intelligence technologies at higher rates, with the AI user share in Q1 2026 approximately three percentage points higher. Second, employers in centralized MSAs demand skill profiles that are more geographically distinctive, consistent with dynamic markets facilitating finer labor specialization. Third, centralized MSAs experienced larger peak increases in unemployment in three of the four recessions between 1990 and 2020, reflecting the heightened displacement risk inherent in economies with rapid establishment turnover.

We then examine why decentralized metropolitan areas sustain lower rates of establishment reallocation. The empirical evidence points toward the protection of incumbent firms. In decentralized MSAs, establishments owned by older firms account for larger shares of total establishments and employment, and older establishments are significantly less likely to exit conditional on total exits and the baseline stock of older firms. Decentralized MSAs also

participate more frequently in discretionary subsidy competitions for firms (Slattery 2025). These findings indicate that decentralized governance insulates established firms and shifts employment adjustment away from entry and exit toward continuing establishments.

We discuss three complementary mechanisms that rationalize this incumbent bias. First, *free-riding*: economic dynamism generates metropolitan-wide benefits, but individual jurisdictions face an incentive to preserve their own tax base while allowing reallocation to occur in neighboring localities. Second, *local fiscal granularity*: when tax revenues are divided across many small jurisdictions, individual incumbent employers account for a larger share of any single government’s budget, making incumbent survival fiscally critical to local officials. Third, *regulatory capture*: jurisdictional fragmentation shrinks the relevant political market, lowering the cost for established firms to secure favorable zoning, permitting, or tax treatment. These forces reinforce one another: granularity and free-riding increase governments’ willingness to supply protection, while capture increases incumbents’ returns from seeking it.

This paper links the macroeconomics of firm entry and exit to the public economics of local government organization. It demonstrates that the jurisdictional scale of local governance shapes the extensive margin of firm dynamics across otherwise comparable metropolitan areas. Section 2 discusses the related literature. Section 3 describes the data and empirical measures. Section 4 presents the instrumental-variables strategy and the main estimates. Section 5 presents evidence on incumbent protection and evaluates the candidate mechanisms. Section 6 concludes.

2 Related Literature

The first literature studies firm dynamics, selection, and growth. Hopenhayn (1992) models the entry cost and operating cutoff that govern market selection and the productivity distribution of active firms. In the Schumpeterian framework of Aghion and Howitt (1992), innovation replaces obsolete technology and generates economic growth. Acemoglu et al. (2018) incorporate heterogeneous innovative capacity and endogenous firm turnover into this setting, demonstrating that policy support for continuing firms preserves low-innovation incumbents and crowds out innovative firms through competition for skilled labor. Empirically, Decker et al. (2014) show that young firms drive gross job creation and business experimentation, while documenting a secular decline in U.S. business dynamism, which Akcigit and Ates (2021) model as weakening knowledge diffusion. While these models analyze economy-wide dynamism or spaceless selection, we study why establishment entry and exit vary persistently across metropolitan areas operating within the same national environment, linking this

variation to local institutional structure.

The second literature explains spatial differences in technology, firm dynamics, and growth. Existing spatial macroeconomic models attribute geographic divergence to scale, technology adoption, and worker sorting. Eckert, Ganapati, and Walsh (2025) show that the steepening wage-density gradient reflects complementarities between firm scale and IT capital in business services. Rubinton (2026) links spatial divergence directly to establishment dynamics, showing that skill-biased technical change adopted in large, skill-abundant cities raises both the skill premium and the rate at which lagging incumbents exit. Relatedly, Walsh (2025) shows that local growth persistence operates through an entry multiplier, where establishment entry feeds back into local market size. These accounts predict identical dynamism for metropolitan areas with comparable scale and skill endowments. By conditioning on population scale, employment density, and human capital (both baseline levels and subsequent growth), we show that local government organization independently explains substantial residual variation in dynamism across otherwise similar places.

The third literature studies fiscal federalism and local political incentives. Classic fiscal federalism emphasizes preference matching and the disciplinary benefits of interjurisdictional competition (Tiebout 1956; Oates 1999), while recognizing that cross-border spillovers can justify broader regional governance. Political economy models show that local competition can generate distortions: Blanchard and Shleifer (2001) show that uncoordinated local officials face incentives to protect incumbents and obstruct entry, a logic extended to regional protectionism by Sonin (2010). In the United States, empirical studies of metropolitan fragmentation report mixed findings: Hatfield and Kosec (2013) find positive earnings effects from interjurisdictional competition, whereas Wiedemann (2026) finds that centralization promotes metropolitan population and employment growth. Relatedly, Favilukis and Song (2025) show that fragmented land-use authority generates negative regional externalities through restrictive zoning, and Slattery (2025) documents that jurisdictional bidding for firms dissipates public surplus. We connect these political economy frictions directly to the extensive margin of market selection, examining how jurisdictional fragmentation shapes establishment entry, exit, and incumbent survival within integrated metropolitan labor markets.

3 Background and Data

In this section, we define and discuss measurement of economic dynamism, local government centralization, and the other empirical measures we employ. The main unit of analysis in this study is the Metropolitan Statistical Area (MSA) defined by the OMB. MSAs are collections

of counties that are linked together by an urban core and economic ties as measured by commuting flows. Each MSA can then be thought of as a distinct labor market, and even more abstractly, as its own economy. Because urban areas and commuting ties can change throughout time, definitions of MSA can shift across decades as well. To handle this issue, we use the MSA definitions in effect in 2019 for all time periods, which permits us to speak about the same geographic area throughout.

3.1 Economic Dynamism

Economic dynamism relates to the underlying amount of reallocation occurring in an economy. Two economies can experience the same net growth while differing substantially in the amount of reallocation occurring. Suppose MSA X and MSA Y each begin with 100,000 establishments and eventually grow to 200,000. In MSA X, 20,000 establishments exit and 120,000 enter, while in MSA Y, 80,000 establishments exit and 180,000 enter. Both economies double in size, but MSA Y experiences substantially greater economic dynamism because considerably more establishment activity is reallocated in the process.

Our measure therefore captures gross establishment turnover rather than net establishment growth. This distinction parallels Davis and Haltiwanger (1992)’s distinction between net employment growth and the much larger gross flows of job creation and destruction underneath it, though their measure concerns employment reallocation across establishments whereas ours concerns establishment entry and exit itself. The economic significance of turnover depends on selection: Decker et al. (2014) document that low-productivity young firms disproportionately contract and exit while high-productivity young firms expand, and Acemoglu et al. (2018) show theoretically that endogenous exit can improve the composition of active firms and release resources for innovation. We therefore interpret establishment turnover as an observable margin through which market selection operates, rather than as a direct measure of productivity or welfare.

To measure economic dynamism, we use the annual Business Dynamics Statistics (BDS) from 1979 to 2019, aggregated from the county-year level to the MSA-year level. Using the BDS measure of establishments, establishment entries, and establishment exits for each MSA m in year t , we first construct a time series of economic dynamism as:¹

¹The terminology for this measure has evolved over time. Beesley and Hamilton (1984) introduced the concept of “turbulence” to describe the simultaneous entry and exit of firms. Samaniego (2010) refers to the sum of entry and exit rates explicitly as “turnover”. More recent work uses “business” or “economic” dynamism as a broader term encompassing the concept of creative destruction (Schumpeter 1942; Decker et al. 2014; Ignaszak and Sedláček 2026; Rubinton 2026).

$$\text{Economic Dynamism}_{m,t} = \frac{\text{Exit}_{m,t} + \text{Entry}_{m,t}}{\text{Establishments}_{m,t}}$$

This measure captures the annual rate of establishment turnover in an MSA. We then summarize each MSA’s time series using the average across all years. We also construct similar measures that focus only on exit and entry separately.

As displayed in Figure 1, average economic dynamism varies substantially across MSAs over the 1979–2019 period.

3.2 Local Government Centralization

Centralization of government refers to the degree that local public sector decision-making authority is dispersed. In centralized local government systems, authority is consolidated into a few large government units, while in decentralized systems authority is dispersed among many smaller units.

However, centralization is not directly observed and is best described as a latent concept. To measure it, we follow Wiedemann (2026) in using the Annual Survey of Public Employment and Payroll (ASPEP) and directly use his pooled centralization index. The construction of the index proceeds in four steps. First, the 1987, 1997, 2007, and 2017 ASPEP waves, which provides employment levels for each government unit in the United States, are used to derive a vector s_{mt} for each MSA m in survey year t . The vector reports the share of total MSA-level public employment in each government unit. Second, the employment share vectors allow us to create a family of centralization statistics as in Ahern, Kong, and Yan (2024). The family of statistics is constructed using

$${}^q\lambda(s_{mt}) = \left(\sum_{j=1}^{|s_{mt}|} s_{jmt}^q \right)^{\frac{1}{1-q}}, \quad q \in [0, \infty).$$

Where q is a free-parameter that indexes the family of centralization statistics. Common measures used to define local government centralization can be found within this family. ${}^0\lambda$ counts the number of governments, ${}^2\lambda$ is the inverse Herfindahl-Hirschman index, and ${}^\infty\lambda$ is the inverse one-government concentration ratio. We choose 50 points evenly spaced from this family for each survey year.²

Third, the grid of centralization measures across the four survey years are then residualized against population and land area. This step is critical for interpretation as fifty local

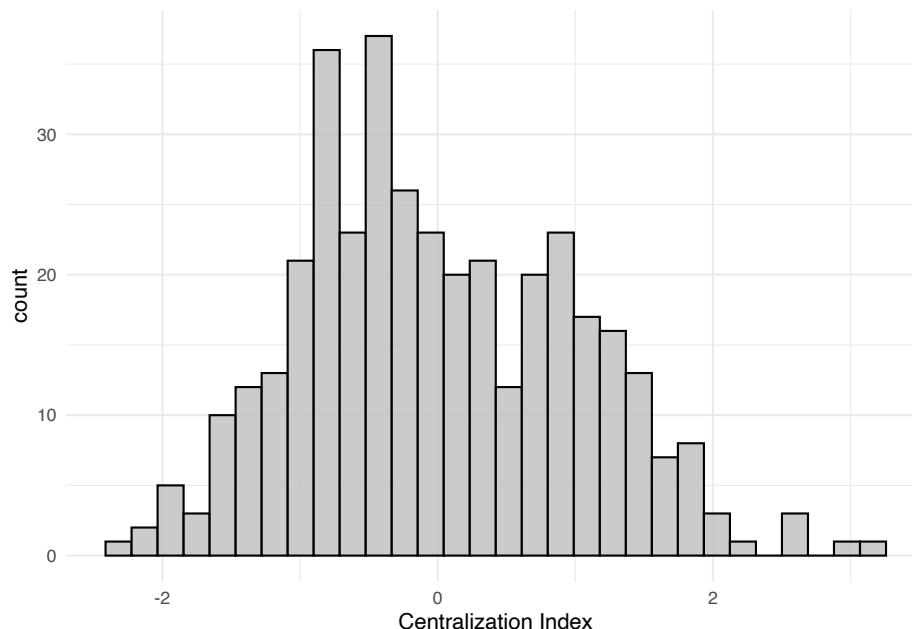
²We use $u = \frac{q}{1+q}$ to map domain into the unit interval and then choose points uniformly from the interval

governments may be considered decentralized in a small population MSA, but centralized in a large MSA. This also produces a centralization index that is orthogonal to MSA population size by construction.

The final step aggregates across the residualized measures and across survey years into a single index. We use principal components analysis, and orient and scale the first principle component to have standard deviation one and increase with centralization. The first principal component explains 77% of the variance across the measures, indicating that the proxy measures contain a substantial common component that we interpret as centralization.

Figure 2 displays the centralization index across MSA.

Figure 2: Local Government Centralization Index Across MSAs



Notes: Histogram of the MSA-level local government centralization index. The index is constructed from the distribution of local government employment across jurisdictions, residualized against population and land area, and oriented so that higher values indicate greater centralization.

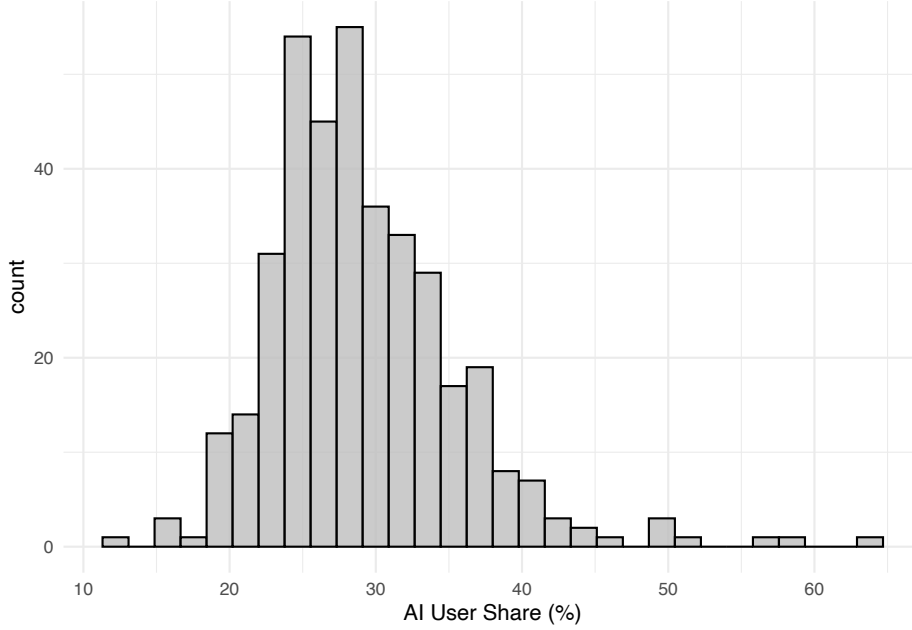
3.3 AI User Share

Misra et al. (2026) release telemetry data measuring AI diffusion in Q1 2026. Their measure reports the share of working-age Microsoft OS users engaging with major AI services. The data are released at the county level, which we aggregate to MSAs using population-weighted averages. Although firm-level adoption would be preferable, Bick et al. (2026) show that

worker and firm-level AI adoption rates are highly correlated in a cross-country analysis.³

Figure 3 shows the distribution of AI User Share across MSA.

Figure 3: AI User Share Across MSAs - Q1 2026



Notes: Histogram of MSA-level AI user share in Q1 2026. The measure is the population-weighted MSA average of county-level AI usage among working-age Microsoft OS users.

3.4 Labor Specificity

Economic dynamism may also support greater specialization in the labor market. In a more dynamic economy, workers and firms can specialize in more specific skills because specialized matches are easier to form and replace (Atalay, Sotelo, and Tannenbaum 2024). For example, a software engineer in a less dynamic market may need to remain a generalist, while in a more dynamic MSA they may specialize in a particular technology or task.

To measure this specificity, we use data from Howell et al. (2026), who construct county-level measures of skill demand from 433.6 million online job postings collected by Lightcast between 2010 and 2024. Their measure begins with revealed comparative advantage (RCA). For county c , skill s , and year t ,

$$RCA_{cst} = \frac{X_{cst} / \sum_{s'} X_{cs't}}{\sum_{c'} X_{c'st} / \sum_{c'} \sum_{s'} X_{c's't}},$$

³Correlations are .73 in EU-ICT surveys and .99 for their own survey which asks "Do you use Generative AI for your job?".

where X_{cst} is the number of times skill s appears in job postings in county c . A county is considered specialized in a skill when $RCA_{cst} > 1$, meaning that the skill accounts for a larger share of local skill demand than it does nationally. RCA therefore identifies which skills a county specializes in, but does not provide a single measure of how specialized the county’s overall skill profile is.

Howell et al. (2026) then define a skill’s *ubiquity* as the number of counties in which that skill has $RCA > 1$. Higher ubiquity therefore indicates a more widely shared specialization, while lower ubiquity indicates a more distinctive one. For ease of interpretation, we reverse the sign of this measure and refer to it as *Labor Specificity*, so that higher values indicate greater specialization. County-level Labor Specificity is then the negative of the average ubiquity of the skills in which that county has $RCA > 1$.

We use their 2019 measure and aggregate county-level Labor Specificity to the MSA level using each county’s share of job postings within the MSA as weights.

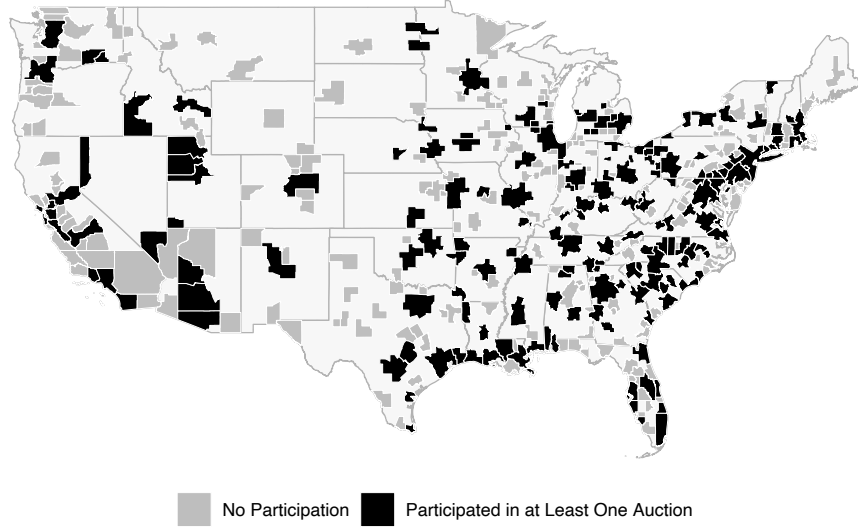
3.5 Bidding for Firms

We use the auction data assembled by Slattery (2025), which describe competition among state and local governments to attract large business projects. Slattery begins with subsidy deals exceeding \$5 million from the Good Jobs First Subsidy Tracker, adds projects from Site Selection Magazine’s annual “Top Deals,” and supplements these records with news articles, government documents, and company press releases. The final sample contains 387 projects from 2002–2017 for which there is evidence of competition and an identified U.S. runner-up location.

These competitions typically begin with a firm considering many possible sites before narrowing its search to a shortlist whose governments negotiate with the firm and offer incentives. We treat an MSA as participating when it is either the location that ultimately received the project or if it competed in the auction. Because our interest is participation rather than winning, all identified locations are treated equally.

Figure 4 displays a map of MSA participation. In the data, 46% of the 378 MSAs participated in at least one subsidy competition. MSAs shaded black participated, while those in gray did not.

Figure 4: Subsidy Competition Participation Across MSAs



Notes: The map shows participation in the 387 large subsidy competitions collected by Slattery (2025) for 2002–2017. An MSA is classified as participating if it contains either the location that received the project or an identified competing location. Black MSAs participated in at least one competition; gray MSAs did not. Locations identified only at the state level, locations outside the 378-MSA sample, and unidentified competitors are excluded. Source: Slattery (2025) replication data and authors’ calculations.

3.6 Additional Data

Economic dynamism is associated with the benefit of economic growth, but it often comes at the cost of increased risk. One salient place where this tradeoff is measurable is through business cycle risk. Using the Bureau of Labor Statistics unemployment data, we measure unemployment shocks during the 1990-1991, 2001, 2007-2009, and 2020 recessions. The shock is measured as the difference between the peak of unemployment recorded in the MSA during the recession and the average unemployment rate in the 12 months previous to the recession.

We use Bureau of Economic Analysis (BEA) data to measure personal income levels and growth in 1979 and 2019. Because higher economic dynamism is associated with higher productivity, and because higher productivity is associated with higher income, places with higher economic dynamism should have both higher personal income and personal income growth.

To proxy human capital and human capital growth, we measure the share of the population

with a college degree in 1980, 2000, and 2020 taken from the IPUMS NHGIS ([Schroeder et al. 2026](#)), and use the log ratio of the terminal and base year to capture human capital growth.

Along with measuring economic dynamism, we use the BDS data to measure the share of new employment that comes from entry and the share of lost employment that comes from exit in each MSA. We also measure the average size, by employment, of establishments that enter and exit and the share of exiting establishments that are classified as large. The final measure we use construct from the BDS data concerns the age distribution of establishments in each MSA. We measure use the left-coded bin of the BDS data which captures the number of establishments that were in existence before the survey began in 1978. This censoring problem limits us to only examining age effects for 1999 and beyond. We measure the age distribution by measuring the share of older establishments, the employment share of older establishments, and the share of exiting establishments that are classified as old.

The County Business Patterns (CBP) data provides the most accessible way to measure establishment size distributions at the MSA-level. Following Rossi-Hansberg and Wright ([2007](#)), we summarize upper-tail thickness using the slope of the log survival function with respect to log establishment size. The data reports the number of establishments in each of 12 employment-size bins. We aggregate to the MSA level and use the resulting size distribution to estimate the thickness of each MSA’s upper tail.

Specifically, for each MSA, we construct the empirical survival function, and approximate it with

$$S_m(x) = \mathbb{P}(\text{Establishment Size} \geq x) \approx c_m x^{-\alpha_m}$$

using establishment counts in the upper size bins. Taking logs gives an estimating equation

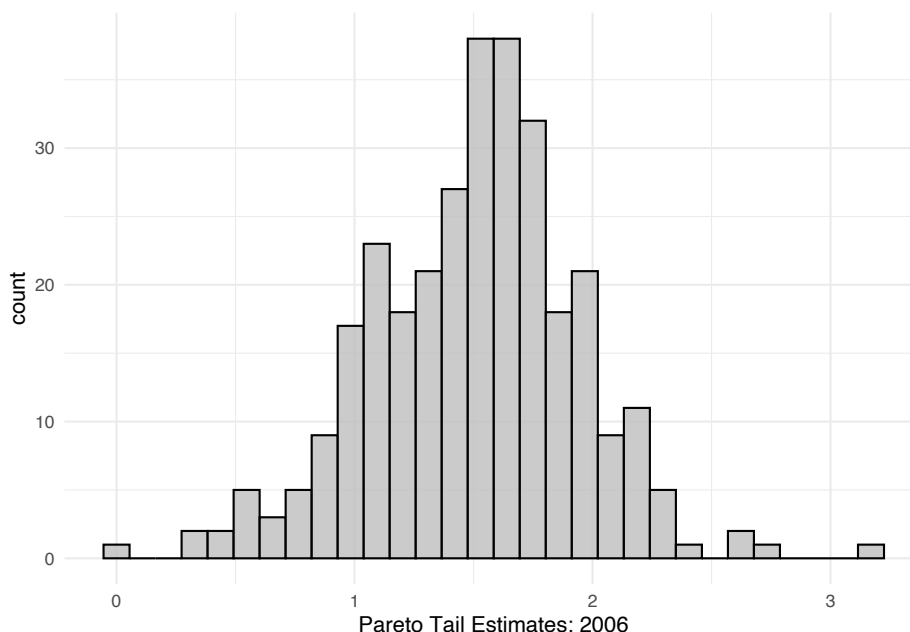
$$\log S_m(x) = \log c_m - \alpha_m \log x + \epsilon_m$$

We estimate this relationship separately for each MSA by regressing the log empirical survival probability on the log lower bound of each of the size bin. Because the Pareto approximation describes tail behavior rather than the full size distribution, we estimate the slope using only the 5 largest employment-size bins. We repeat this process for 1986, the earliest year available, and 2006, the latest year available without low-count suppression, and collect resulting tail estimates for each MSA in each year. For some MSA, the data is insufficient to create an estimate as they do not have a large enough mass of large establishments. A regression of an indicator for missingness on centralization, the main independent variable, shows no

relationship, suggesting that the missing data does not create an issue for later estimates.

Figure 5 displays the estimated Pareto tail parameters for 2006. Lower estimated parameters indicate size distributions with fatter tails.

Figure 5: Establishment Tail-Thickness Estimates



Notes: Histogram of MSA-level Pareto tail estimates for establishment size in 2006. Estimates are constructed from the upper five County Business Patterns employment-size bins. Lower values indicate fatter upper tails. The distribution is single-peaked and centered around a mean of 1.56, with a standard deviation of 0.35. Most MSAs fall between roughly 1.2 and 2.0, though the figure shows a small number of MSAs with substantially thicker or thinner upper tails. Overall, the estimates show meaningful cross-sectional variation without being dominated by extreme outliers.

Table 1 displays summary statistics of variables used in the study, including the Rural Free Delivery instrument discussed in the next section. Where variables have been measured across several years, the 1999 value is reported in the table.

Table 1: Summary Statistics

Statistic	N	Mean	St. Dev.	Min	Max
Economic Dynamism: 1979 - 2019	378	0.210	0.028	0.154	0.288
Establishment Entry Rates: 1979 - 2019	378	0.111	0.018	0.077	0.170
Establishment Exit Rates: 1979 - 2019	378	0.099	0.011	0.073	0.130
AI User Share	378	29.183	6.453	12.200	63.800
Labor Specificity	378	-487.181	140.790	-830.005	-108.228
Pareto Tail Estimate: 1986	313	1.493	0.607	-0.000	3.358
Pareto Tail Estimate: 2006	310	1.506	0.444	0.000	3.170
Centralization Index	378	-0.000	1.000	-2.319	3.163
Log Population: 1999	378	12.512	1.072	9.898	16.750
Log Establishments: 1999	378	8.710	1.079	6.400	13.030
Log Employment: 1999	378	11.519	1.161	8.692	15.811
Log Personal Income: 1999	378	15.736	1.173	12.783	20.373
Share of Establishments Older than 1979	378	30.536	5.243	15.835	45.751
Share of Employment in Older Establishments	378	54.900	7.942	32.273	76.099
Unemployment Shock: 1990	378	0.023	0.017	0.002	0.129
Unemployment Shock: 2001	378	0.015	0.008	-0.0004	0.061
Unemployment Shock: 2007	378	0.052	0.019	0.016	0.154
Unemployment Shock: 2020	378	0.101	0.039	0.018	0.297
Share with College Degree: 1980	378	15.556	5.322	6.958	36.615
Share with College Degree Growth: 1980-2020	378	0.643	0.158	0.153	1.527
Years From First Post Office to 1902	378	75.370	31.508	9	263
Number of Post Office Closures: 1902 - 1910	378	34.839	50.415	0	422

Notes: Summary statistics for the MSA-level variables used in the analysis. Variables measured in levels are reported in logs where indicated. For variables observed in multiple years, the table reports the 1999 value unless the variable is inherently period-specific, such as economic dynamism, unemployment shocks, human capital growth, or the Rural Free Delivery instrument.

3.7 Predictions of Economic Dynamism

In addition to establishing a direct link between local government centralization and economic dynamism, we also establish links between centralization and geographic variation in outcomes that are predicted to occur in more dynamic economies. By showing these downstream links, we provide indirect evidence of the initial link between centralization and economic dynamism.

However, for this argumentative technique to hold, it must be the case that economic dynamism does in fact predict the outcomes. Table 2 displays the correlations from three OLS regressions. Economic dynamism has been standardized in all regressions, and all include Census Division fixed effects, which have been suppressed. Column (1) reports the estimated OLS association between economic dynamism and frontier technology adoption, measured by the share of the working-age population that has adopted AI tools. Columns (2) and (3) report corresponding estimates for labor specialization and unemployment shocks during recessions. Because their original units are not readily interpretable, both outcomes

have been standardized. Column (3) pools observations from all four recessions and includes recession-specific fixed effects.

Table 2: Predictions of Economic Dynamism

	<i>Dependent variable:</i>		
	AI Share	Labor Specificity	Unemployment Shocks
	(1)	(2)	(3)
Economic Dynamism: Standardized	2.488*** (0.449)	0.537*** (0.066)	0.063*** (0.019)
Constant	31.705*** (1.609)	0.812*** (0.235)	−0.589*** (0.074)
Observations	378	378	1,512
R ²	0.102	0.204	0.716

*p<0.1; **p<0.05; ***p<0.01

Notes: OLS estimates of the association between economic dynamism and outcomes associated with dynamic local economies. Column (1) uses the MSA-level AI user share in Q1 2026. Column (2) uses the standardized 2019 MSA-level labor specificity measure, with higher values indicating more specialized skill profiles. Column (3) pools MSA observations across the 1990–1991, 2001, 2007–2009, and 2020 recessions and uses the standardized peak unemployment-rate increase relative to the preceding twelve-month average. Economic dynamism is standardized in every column. All specifications include Census Division fixed effects, and column (3) additionally includes recession fixed effects. Conventional standard errors are reported in parentheses.

A one-standard-deviation increase in economic dynamism is associated with a 2.49-point increase in the AI user share, a 0.54-standard-deviation increase in labor specificity, and a 0.063-standard-deviation increase in recession unemployment shocks. All three coefficients are statistically significant at the one-percent level. These conditional associations do not by themselves establish that economic dynamism causes the three outcomes, but they show that the outcomes move with dynamism in the directions predicted by the argument. The reduced-form analysis below therefore asks whether local government centralization predicts the same set of outcomes.

4 Reduced-Form

In this section, we present our empirical strategy and the reduced-form results. The first subsection discusses potential endogeneity between local government organization and economic dynamism and briefly covers the Rural Free Delivery instrument. A more robust discussion of

the instrument can be found in Wiedemann (2026). The next subsection presents our main reduced-form results.

4.1 Endogeneity

We argue that the organization of local government has a causal effect on economic dynamism. However, if the organization of local government is correlated with some other factor that causes economic dynamism, then standard estimation methods will be biased because they conflate the effect of local government organization with the effect of the other factor.

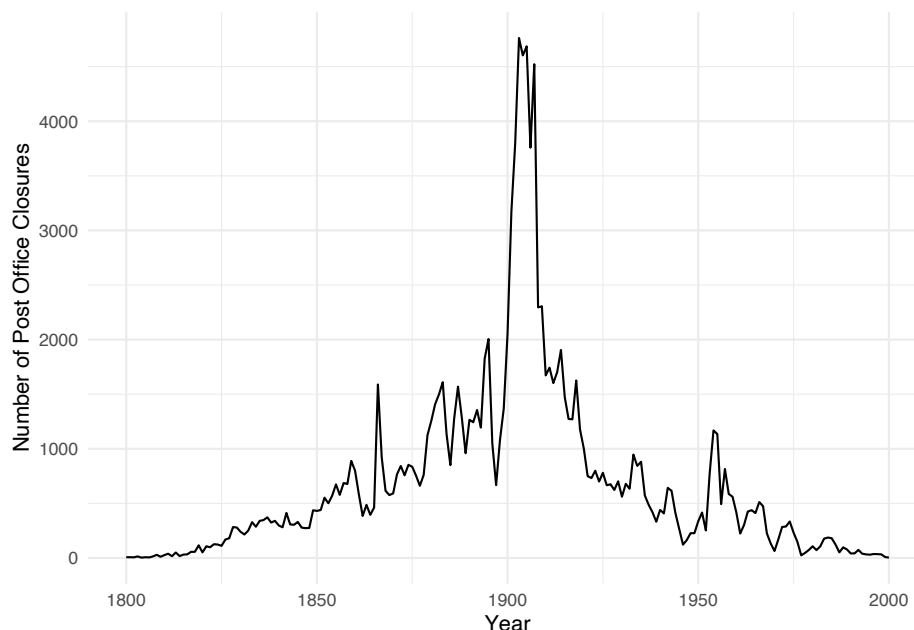
One potential source of endogeneity stems from the information lost when abstracting to a single dimensional index. Our measure of centralization is constructed using the distribution of employment across distinct government units, but abstracts from government type and political organization. Two MSAs may have the same measured centralization but distribute their local government employment differently across cities, counties, schools, and special districts or have different administrative rules governing available policy choices. If these omitted features have an independent effect on economic dynamism and are correlated with centralization, then they can bias estimates.

A second concern are the other unmeasured metropolitan institutions of the local economic environment, including financial institutions, universities, business associations, and informal commercial networks. Economic development corporations and chambers of commerce are especially relevant because their stated purpose is to shape local economic outcomes. However, many of these complement institutions may be post-treatment. If local government organization affects their effectiveness, whether through creating competition between them or through crowd-out, then these organizations constitute channels through which centralization affects dynamism rather than independent confounders. If omitted institutions are correlated, rather than caused, by centralization and have an independent effect on economic dynamism, they represent a second source of endogeneity.

To address the endogeneity problem, we instrument centralization with the number of post office closures immediately following the Postal Service’s implementation of Rural Free Delivery (RFD) in 1902. Prior to RFD, mail was typically collected at a local post office, but after its implementation, mail was delivered free of charge to every mailbox. This made a large number of post offices obsolete, leading to a large wave of closures. As RFD was an extension of the Free City Delivery program started in 1863, these closures were concentrated in what were considered rural areas at the turn of the twentieth century. Figure 6 displays the aggregate number of post office closures between 1800 and 2000. The x-axis measures

time in years, and the y-axis reports the number of post office closures.

Figure 6: Post Office Closures: 1800-2000



Notes: Annual U.S. post office closures from 1800 to 2000. The spike following the introduction of Rural Free Delivery identifies the historical variation used to construct the instrument.

The large spike in the figure corresponds to the years used to construct the instrument. Table 3 shows the first-stage relationship between local government centralization and the Rural Free Delivery instrument. In this specification, and all specifications in the results section, Census Division fixed effects and a variable measuring the time difference between the first established post office and 1902 are included. First-stage F-statistics are reported in the results section and incorporate the additional controls used in each specification.

Table 3: Centralization and Rural Free Delivery Post Office Closures

	<i>Dependent variable:</i>
	Local Government Centralization Index
RFD: Post Office Closures	−0.268*** (0.039)
Observations	378
R ²	0.582

*p<0.1; **p<0.05; ***p<0.01

Notes: First-stage regression of the MSA-level centralization index on the Rural Free Delivery instrument. The instrument is the log number of post office closures between 1902 and 1910. The specification controls for log employment density in 1979, a Rust Belt indicator, Census Division fixed effects, and years from the first local post office opening to 1902. Standard errors are reported in parentheses.

A greater number of post office closures following RFD strongly predicts local government decentralization. As argued in Wiedemann (2026), the effect operates through the municipal annexation process, which largely determines the modern organizational structure of MSA (Burns 1994). Many jurisdictions incorporate as a defensive measure against annexation from other jurisdictions. With more post office closures came more opportunities for defensive incorporation, leading to a more decentralized local government system. The effect is robust to heterogeneity in geography, age, and population size, and is well approximated with a linear model.

The logic behind the instrument can be summarized as follows: A greater number of post office closures proxies for more independent and rural historical settlements. With a greater number of settlements came a greater number of potential annexation margins. A greater number of annexation margins leads to more defensive incorporation, which in turn leads to a more decentralized local government organization. The exclusion restriction holds if the only way that the historical settlement dispersion proxied for by post office closures effects economic dynamism is through its effect on shaping the organization of local government. If historical settlement dispersion causes some other factor, independent of local government organization, then the exclusion restriction fails.

4.2 Results

This subsection reports our reduced-form results. We begin with the main relationship between local government centralization and economic dynamism. We then examine geographic variation in three outcomes associated with economic dynamism: frontier technology adoption,

labor specificity, and business-cycle risk. These outcomes help solidify the link between economic dynamism and the organization of local government.

The tables report two IV diagnostics and the OLS estimate for the effect of centralization. The Kleibergen-Paap rk Wald F-statistic evaluates the strength of the excluded instrument, with larger values indicating that the instrument more strongly predicts centralization. The Anderson-Rubin p-value provides weak-instrument-robust inference for the null of no effect. Taken together, these diagnostics summarize both instrument relevance and whether the estimated effects remain distinguishable from zero under inference procedures that remain valid even with a weaker first stage. Standard errors are clustered at the state level, and MSAs are assigned to the state that hosts the largest government unit.

Table 4 reports the paper’s core reduced-form result. Column (1) regresses economic dynamism measured from 1979 to 2019 on centralization, the log number of establishments, and establishment density in 1979. Column (2) includes the share of the population with a college degree in 1980 and column (3) includes the growth in the share of the population with a college degree between 1980 and 2020. Columns (4) and (5) decompose the economic dynamism measure into its exit and entry rates. Both local government centralization and college degree share growth have been standardized, so the reported coefficients can be read as the change in dynamism associated with a one-standard-deviation increase in either centralization or growth in college degree share.

Table 4: Centralization and Economic Dynamism

	<i>Dependent variable:</i>				
	Economic Dynamism			Entry	Exit
	(1)	(2)	(3)	(4)	(5)
Centralization Index	0.019** (0.009)	0.019** (0.009)	0.022** (0.010)	0.011* (0.006)	0.008** (0.004)
Log Establishments 1979	0.009*** (0.002)	0.009*** (0.002)	0.008*** (0.002)	0.005*** (0.001)	0.004*** (0.001)
Establishment Density: 1979	−0.003 (0.002)	−0.003 (0.002)	−0.004* (0.002)	−0.002 (0.001)	−0.001 (0.001)
College Degree Share: 1980		0.0003 (0.0003)	0.001*** (0.0003)		
Growth in College Degree Share: 1980-2020			0.007*** (0.002)		
Constant	0.173*** (0.018)	0.170*** (0.019)	0.174*** (0.018)	0.089*** (0.012)	0.085*** (0.007)
KP rk Wald F-statistic	36.1	34.33	33.32	36.1	36.1
Anderson–Rubin p-value	0	0	0	5e-04	0
Centralization OLS Estimate	0.0041***	0.0035**	0.0036***	0.0031***	0.001**
Observations	378	378	378	378	378

*p<0.1; **p<0.05; ***p<0.01

Notes: Instrumental-variables estimates of the effect of local government centralization on economic dynamism, establishment entry, and establishment exit. Columns (1)–(3) use economic dynamism measured over 1979–2019; column (2) adds the 1980 college degree share, and column (3) adds growth in the college degree share between 1980 and 2020. Columns (4) and (5) use establishment entry and exit rates as dependent variables. All specifications control for log establishments and establishment density in 1979, a Rust Belt indicator, Census Division fixed effects, and years from the first local post office opening to 1902. Centralization and college degree share growth are standardized. Kleibergen-Paap rk Wald F-statistics and Anderson-Rubin p-values are reported for instrument diagnostics. State-clustered standard errors are reported in parentheses. Column (1) reports our main result: local government centralization increases economic dynamism. Across MSA, the standard deviation of economic dynamism is .027, so the estimated effect reports that a standard deviation increase in local government centralization increases economic dynamism by over half of a standard deviation. The next two columns show that this result is consistent when conditioning on a proxy for the base level of human

capital in the base period, along with the growth in human capital. The last two columns decompose economic dynamism and show that centralization increases both the entry and exit margin roughly equally.

The following three tables link geographic variation in outcomes associated with economic dynamism to local government organization. If centralization has an effect on economic dynamism, it should also have an effect on its downstream outcomes. Table 5 examines frontier technology adoption as measured through the share of the working age population that has adopted AI technologies. Column (1) regresses the AI User Share at the MSA-level on local government centralization, log population, and population density in 2024. Column (2) conditions on the share of the population aged 15 to 25. Columns (3) and (4) add initial human capital levels and human capital growth.

Table 5: Centralization and AI Adoption

	<i>Dependent variable:</i>			
	Artificial Intelligence Adoption			
	(1)	(2)	(3)	(4)
Centralization Index	3.332* (1.813)	2.937* (1.525)	2.989** (1.457)	3.345** (1.493)
Log Population: 2024	1.453*** (0.402)	1.859*** (0.370)	1.476*** (0.355)	1.340*** (0.387)
Population Density: 2024	0.450 (0.581)	0.764 (0.547)	0.473 (0.531)	0.376 (0.567)
Age 15-25 Population Share: 2024		1.156*** (0.123)	0.874*** (0.142)	0.927*** (0.146)
College Degree Share: 1980			0.317*** (0.070)	0.359*** (0.069)
Growth in College Degree Share: 1980-2020				0.966** (0.412)
Constant	13.215** (5.310)	−5.478 (4.020)	−2.691 (3.795)	−2.030 (3.980)
KP rk Wald F-statistic	37.69	36.43	36.24	34.77
Anderson–Rubin p-value	0.0194	0.0043	0.0022	6e-04
Centralization OLS Estimate	1.2***	0.69**	0.52	0.56*
Observations	378	378	378	378

*p<0.1; **p<0.05; ***p<0.01

Notes: Instrumental-variables estimates of the effect of local government centralization on AI adoption. The dependent variable is the MSA-level AI user share in Q1 2026. Column (1) controls for log population in 2024; column (2) adds the 2024 share of the population ages 15 to 25; column (3) adds the 1980 college degree share; and column (4) adds growth in the college degree share between 1980 and 2020. All specifications also control for population density in 2024, a Rust Belt indicator, Census Division fixed effects, and years from the first local post office opening to 1902. Centralization and college degree share growth are standardized. Kleibergen-Paap rk Wald F-statistics and Anderson-Rubin p-values are reported for instrument diagnostics. State-clustered standard errors are reported in parentheses.

Across all four specifications, the effect of local government organization on the adoption of AI is positive and relatively stable. A standard deviation increase in centralization is reported to increase AI adoption by roughly 3 percentage points when conditioning on the

young population share, initial human capital, and human capital growth.

More dynamic economies may also allow for a greater degree of labor specialization by facilitating a more efficient matching process. Column (1) of Table 6 regresses labor specificity on centralization, employment, and employment density. Columns (2) and (3) add in the college degree share in 1980 and growth in college degree share respectively. The labor specificity variable has been standardized, meaning the estimated coefficient can be interpreted as the proportion of a standard deviation change in labor specificity caused by a standard deviation increase in centralization.

Table 6: Centralization and Labor Specificity

	<i>Dependent variable:</i>		
	Labor Specificity		
	(1)	(2)	(3)
Centralization Index	0.394*** (0.137)	0.339*** (0.099)	0.351*** (0.101)
Log Employment: 2019	0.684*** (0.045)	0.613*** (0.039)	0.601*** (0.039)
Employment Density: 2019	-0.042 (0.080)	-0.078 (0.062)	-0.081 (0.063)
College Degree Share: 1980		0.068*** (0.005)	0.071*** (0.005)
Growth in College Degree Share: 1980-2020			0.050 (0.041)
Constant	-7.546*** (0.484)	-7.927*** (0.438)	-7.853*** (0.459)
KP rk Wald F-statistic	43.07	40.45	39.43
Anderson-Rubin p-value	0.0017	8e-04	5e-04
Centralization OLS Estimate	0.2***	0.14***	0.14***
Observations	378	378	378

*p<0.1; **p<0.05; ***p<0.01

Notes: Instrumental-variables estimates of the effect of local government centralization on labor specificity. The dependent variable is the standardized 2019 MSA-level labor specificity measure, constructed by aggregating county-level measures using each county's share of MSA job postings as weights; higher values indicate more specialized skill profiles. All specifications control for log employment and employment density in 2019, a Rust Belt indicator, Census Division fixed effects, and years from the first local post office opening to 1902. Column (2) adds the 1980 college degree share, and column (3) additionally adds growth in the college degree share between 1980 and 2020. Centralization and college degree share growth are standardized. Kleibergen-Paap rk Wald F-statistics and Anderson-Rubin p-values are reported for instrument diagnostics. State-clustered standard errors are reported in parentheses.

Across the three specifications, a standard deviation increase in centralization is estimated to increase labor specificity by about a third of a standard deviation. This suggests that employers in more centralized MSA believe that they face a thicker labor market, and in turn are able to seek greater skill specialization in their job postings.

More dynamic economies are also associated with a higher degree of risk. Column (1) of Table 7 reports the effect of centralization on the severity of the unemployment shock for the 1990 recession. Columns (2)-(4) report the same effect for the dot-com, financial, and COVID-19 recessions respectively. Higher values signify higher unemployment.

Table 7: Centralization and Unemployment Shocks

	Peak Change in Unemployment Relative to Previous 12-Month Average			
	1990-1991	2001	2007-2009	2020
	(1)	(2)	(3)	(4)
Centralization Index	0.011** (0.005)	0.001 (0.002)	0.010* (0.005)	0.019* (0.010)
KP rk Wald F-statistic	39.42	39.77	39.8	40.5
Anderson-Rubin p-value	0.0019	0.6615	0.008	0.0104
Centralization OLS Estimate	-0.00068	0.00015	0.0012	0.001
Observations	378	378	378	378

*p<0.1; **p<0.05; ***p<0.01

Notes: Instrumental-variables estimates of the effect of local government centralization on recession-specific unemployment shocks. Each dependent variable is measured as the peak MSA unemployment rate during the listed recession minus the average unemployment rate over the preceding twelve months. All specifications control for log establishment density in the year preceding the listed recession, a Rust Belt indicator, Census Division fixed effects, and years from the first local post office opening to 1902. Centralization is standardized. Kleibergen-Paap rk Wald F-statistics and Anderson-Rubin p-values are reported for instrument diagnostics. State-clustered standard errors are reported in parentheses.

In all but the dot-com recession of 2001, greater centralization increases the severity of unemployment shocks. This result easily reconciles with a connection between local government centralization and economic dynamism as more dynamic economies are likely to bear greater business cycle risk.

In summary, Table 4 shows the initial connection between local government organization and economic dynamism. More centralized MSAs are found to have more dynamic economies. Tables 5–7 show that geographic variation in outcomes thought to be downstream of economic dynamism is also correlated with greater local government centralization. Table 5 shows that more centralized economies are more likely to adopt frontier technologies, Table 6 shows that labor is more specialized in centralized MSAs, and Table 7 shows that economies in more centralized MSAs bear greater business cycle risk. Together, they help make the case that local government organization can and does have an effect on economic dynamism.

5 Mechanisms

The previous subsection develops the empirical link between local government centralization and economic dynamism. In this subsection, we examine possible mechanisms why. To do so, we shift perspective and ask why, all else equal, more decentralized systems of local government have lower economic dynamism.

5.1 Empirical Evidence for Mechanisms

Table 8 examines the effect of centralization on the probability that an MSA participates in a “bidding for firms” subsidy competition. The table shows the results of a regression of an indicator for whether the MSA participated in at least one competition on the centralization index, log employment in 1999, and employment density.

Table 8: Centralization and Subsidy Competition

	<i>Dependent variable:</i>
	Participation in at Least One Subsidy Competition
Centralization Index	−0.170** (0.078)
Log Employment: 1999	0.219*** (0.021)
Employment Density: 1999	0.033 (0.030)
Constant	−2.331*** (0.228)
KP rk Wald F-statistic	42.66
Anderson–Rubin p-value	0.0673
Centralization OLS Estimate	−0.02
Observations	378

*p<0.1; **p<0.05; ***p<0.01

Notes: Instrumental-variables estimate of the effect of local government centralization on participation in subsidy competition. The dependent variable equals one if the MSA contains either the location receiving a project or an identified competing location in at least one of the 387 subsidy competitions collected by Slattery (2025) for 2002–2017. The sample contains 378 MSAs. The specification controls for log employment and employment density in 1999 and includes Census Division fixed effects. Centralization is instrumented with the log number of post office closures between 1902 and 1910. The table reports the Kleibergen-Paap rk Wald F-statistic, Anderson-Rubin p-value, and corresponding OLS estimate. State-clustered standard errors are reported in parentheses.

The table shows that more centralized MSA are less likely, or equivalently that more decentralized MSA are more likely, to participate in subsidy competitions. While this does not necessarily imply incumbent protection, it suggests that local governments tend to be more involved in the economy in more decentralized MSA.

Table 9 focuses on establishment age distributions. Because the BDS data begins in 1978, our measure of older establishments is only valid for later survey years, so we focus on 1999 and 2019. Columns (1) and (2) report the effect of centralization on the share of older establishments for 1999 and 2019, respectively. Columns (3) and (4) report the effect for the share of employment in older establishments. Column (5) regresses the age of establishments that do exit on the centralization index, the total number of exits between 1999–2019, and the number of older establishments in 1999.

Table 9: Centralization and Establishment Age Distributions

	<i>Dependent variable:</i>				
	2019 Older Establishments	1999 Older Establishments	2019 Employment in Older Establishments	1999 Employment in Older Establishments	1999-2019 Older Establishment Exits
	(1)	(2)	(3)	(4)	(5)
Centralization Index	−0.178*** (0.068)	−0.127** (0.059)	−0.182*** (0.046)	−0.161*** (0.049)	0.055 (0.041)
Log Establishments: 2019	0.924*** (0.014)				
Log Establishments: 1999		0.967*** (0.011)			
Log Employment: 2019			0.993*** (0.012)		
Log Employment: 1999				1.003*** (0.010)	
All Exits: 1999-2019					0.318*** (0.028)
Log Older Establishments: 1999					0.748*** (0.034)
Constant	−1.277*** (0.153)	−1.186*** (0.134)	−1.043*** (0.167)	−0.892*** (0.133)	−0.818*** (0.083)
KP rk Wald F-statistic	40.14	37.33	42.42	39.79	34.44
Anderson–Rubin p-value	0	1e-04	0	0	0.0037
Centralization OLS Estimate	−0.031***	−0.018*	−0.022*	−0.014	0.01*
Observations	378	378	378	378	378

*p<0.1; **p<0.05; ***p<0.01

Notes: Instrumental-variables estimates of the effect of local government centralization on establishment age distributions. Columns (1) and (2) use the log number of establishments that entered before the start of the BDS sample, measured in 2019 and 1999, respectively, and control for the log number of establishments in the corresponding year. Columns (3) and (4) use log employment in those older establishments, measured in 2019 and 1999, respectively, and control for log total employment in the corresponding year. Column (5) uses the log number of older establishments that exited between 1999 and 2019 and controls for the log number of all establishment exits over the same period and the log number of older establishments in 1999. All specifications control for establishment density in the corresponding year, a Rust Belt indicator, Census Division fixed effects, and years from the first local post office opening to 1902. Kleibergen-Paap rk Wald F-statistics and Anderson-Rubin p-values are reported for instrument diagnostics. State-clustered standard errors are reported in parentheses.

Columns (1) and (2) show that decentralized MSAs have older establishment distributions. Columns (3) and (4) show a closely related result: decentralized MSAs have a larger share of their employment in older establishments. Column (5) shows that conditional on the number of exits and the initial stock of older establishments, older establishments are less likely to exit in decentralized MSA.

Table 10 examines how centralization affects the composition of establishments that enter and exit. Column (1) reports the share of employment losses attributable to exiting establishments, while column (2) reports the share of employment gains attributable to entering establishments. Columns (3) and (4) examine the average employment size of entering and exiting establishments, respectively. Because the dependent variables in columns (3) and (4) are standardized, the coefficients measure the change in average establishment size, in standard deviation units, associated with a one-standard-deviation increase in centralization.

Table 10: Centralization and Exit/Entry Composition

	<i>Dependent variable:</i>			
	Share of Job Loss: Exits	Share of Job Gain: Entrants	Average Entrant Size	Average Exit Size
	(1)	(2)	(3)	(4)
Centralization Index	1.970* (1.175)	2.166* (1.158)	0.468 (0.285)	0.462** (0.228)
Log Establishments: 1979	0.704*** (0.203)	0.281 (0.219)	0.300*** (0.087)	0.378*** (0.066)
Average Employment Size: 1979			0.127*** (0.019)	0.146*** (0.017)
Establishment Density: 1979	-0.184 (0.283)	-0.316 (0.306)	-0.152* (0.083)	-0.125* (0.073)
Constant	34.070*** (2.317)	36.994*** (2.162)	-4.833*** (0.423)	-5.138*** (0.432)
KP rk Wald F-statistic	37.41	37.41	41.3	41.3
Anderson-Rubin p-value	1e-04	2e-04	0.002	9e-04
Centralization OLS Estimate	-0.025	0.26	0.12**	0.081*
Observations	378	378	378	378

*p<0.1; **p<0.05; ***p<0.01

Notes: Instrumental-variables estimates of the effect of local government centralization on the composition of establishment entry and exit. Columns (1) and (2) use the shares of job losses attributable to exiting establishments and job gains attributable to entering establishments, respectively. Columns (3) and (4) use standardized average employment size among entering and exiting establishments, respectively. All specifications control for log establishments and establishment density in 1979; columns (3) and (4) additionally control for average establishment employment in 1979. All specifications include Census Division fixed effects and years from the first local post office to 1902. Centralization is instrumented with the log number of post office closures between 1902 and 1910. Kleibergen-Paap rk Wald F-statistics and Anderson-Rubin p-values are reported for instrument diagnostics. State-clustered standard errors are reported in parentheses.

Column (1) shows that centralized MSA are more likely to lose employment through exit, while job losses in decentralized MSA are more likely to come from incumbent firms shedding workers. Column (2) shows a similar result for entry. Centralized MSA have more of their job gains come from entering establishments, while employment gains come more from existing establishment expansion in decentralized MSA. Columns (3) and (4) show that both entrants and exiting establishments are over half a standard deviation larger in centralized MSA.

The empirical evidence presented in this section is indirect yet helps narrow possible mechanisms. Table 8 shows that more decentralized MSAs are more likely to participate in subsidy

competitions, suggesting an increased role for government in managing the economy in those MSAs. Table 9 shows that the age distribution of establishments is skewed older in more decentralized MSAs. Finally, Table 10 shows that employment losses are more likely to come from incumbent establishments shedding workers than from exit in decentralized MSAs, and that their job gains are more likely to come from incumbent expansion than from entry. The entry and exit size effects show that establishments that exit are smaller in decentralized MSAs and provide indirect evidence that incumbent firms crowd out the size of entrants.

The empirical patterns shown in this subsection do not prove that incumbent protection is more prevalent in decentralized MSA, but they do show that many outcomes that would stem from such policy can be found when examining decentralized MSA. The next section explores mechanisms that could generate these patterns.

5.2 Discussion of Mechanisms

In this subsection, we discuss three possible mechanisms that could cause more decentralized MSA to pursue policies that protect incumbents more aggressively. The first mechanism we examine takes economic dynamism as a public good and rationalizes the results through free-riding by local governments. Under this mechanism, jurisdictions in decentralized MSAs have an incentive to allow reallocation to occur elsewhere while preserving their own tax base. Each jurisdiction benefits when other jurisdictions permit reallocation through entry and exit since these processes sustain aggregate dynamism across the metropolitan economy. Yet each jurisdiction also has a unilateral incentive to defect by protecting its own incumbents. When all jurisdictions face this incentive, decentralized governance can produce excessive incumbent protection, reducing aggregate economic dynamism. In contrast, centralized MSAs may be better able to internalize the free-rider problem which allows them to sustain higher levels of economic dynamism.

A second potential mechanism is granular risk, which is easiest to describe through an example. Suppose that a significant portion of a fully centralized MSAs economy is accounted for by ten large firms, either directly through revenue derived from them or indirectly through their agglomerative effects on the rest of the economy. From the perspective of the local government, any one of the ten firms may be important for their budget, but no single firm is pivotal. Now take the same set of firms and place them in a decentralized MSA with five jurisdictions with the firms distributed equally across jurisdictions. The ten firms still account for the same proportion of the metropolitan economy, but from the perspective of an individual local government, only two firms account for the bulk of their budgets. If one of these firms exits, a significant portion of the jurisdiction's tax revenue may be lost. This

creates an incentive for the local government to pursue policies that reduce exit. When all jurisdictions face the same incentive structure, decentralized governance can reduce economic dynamism.

A third mechanism concerns regulatory capture at the local level. By regulatory capture, we mean that firms expend resources to obtain favorable treatment from local governments and assume that favorable treatment reduces the probability of exit. This mechanism does not require firms in decentralized MSAs to be inherently more likely to seek favorable treatment. Rather, decentralization lowers the cost of obtaining it. In a centralized MSA, firms seeking favorable treatment must compete in a metropolitan-wide political market against a broader set of firms with similar demands. In a decentralized MSA, the relevant political market is smaller: firms compete primarily with other firms located within the same jurisdiction. This increases the expected return to seeking favorable treatment, since the same firm-specific effort is more likely to secure favorable zoning decisions, permitting advantages, infrastructure investments, tax treatment, or informal administrative support.

Together, these mechanisms are mutually reinforcing. The free-riding and granular risk mechanisms focus on the incentives of local governments and imply that local governments in decentralized MSAs have stronger incentives to supply incumbent protection. The regulatory capture mechanism focuses on the incentives of firms and implies that decentralization reduces the cost of demanding incumbent protection. Decentralized governance therefore increases local governments' willingness to supply incumbent protection while also increasing incumbent firms' returns from seeking it. This helps explain why institutional structure can have large effects on economic dynamism.

It is important to note that we leave the common implication of all three mechanisms, that decentralized MSAs protect incumbent firms, empirically untested. Tax abatements, infrastructure commitments, and other direct fiscal tools may in principle be observable, but local governments also possess many unobservable informal channels through which they can reduce the costs of continued operation and protect incumbents. Therefore, we consider the link between local government centralization and incumbent protection as a proposed hypothesis, backed up by the indirect evidence above, to explain the observed link between centralization and economic dynamism.

6 Conclusion

This paper studies whether the organization of local government helps explain persistent differences in economic dynamism across U.S. metropolitan areas. Using post office closures

following the introduction of Rural Free Delivery as an instrument for contemporary local government centralization, we find that more centralized MSAs experience greater establishment reallocation. The effect operates through both entry and exit and remains when we account for differences in initial human capital and subsequent human capital growth.

The broader results help characterize what this additional reallocation looks like. Economic dynamism is positively associated with AI adoption, labor specialization, and the severity of unemployment shocks during recessions. More centralized MSAs exhibit the same pattern: they adopt frontier technology at higher rates, demand more specialized labor, and experience larger unemployment shocks in three of the four recessions we study. These findings strengthen the interpretation of the main result while also highlighting a tradeoff. The reallocation associated with dynamism can support technological adoption and more specialized matching, but it can also expose workers to greater adjustment during downturns.

The evidence on mechanisms is consistent with the view that decentralized local governments have stronger incentives to protect incumbent firms. Decentralized MSAs participate more often in subsidy competitions, have older establishment and employment distributions, and rely more on incumbent contraction and expansion than on establishment exit and entry for job reallocation. Free-riding across jurisdictions, the fiscal importance of individual firms to smaller governments, and a lower cost of regulatory capture offer complementary explanations for these patterns. Because incumbent protection is not observed directly and can operate through informal as well as formal policies, however, this mechanism remains a hypothesis supported by indirect evidence rather than a conclusively identified channel.

The results therefore do not imply that centralization is unambiguously preferable to decentralization. As discussed in Section 2, a separate empirical literature on U.S. metropolitan fragmentation has generally found the opposite sign on aggregate growth; that evidence is not in tension with ours, since fragmented governance may raise aggregate growth by protecting the incumbent firms already established in a jurisdiction, even as it lowers the rate at which economic activity turns over. Protecting an incumbent may stabilize the employment and revenue base of an individual jurisdiction, while greater metropolitan reallocation can impose concentrated costs on workers and communities. The central implication is narrower: the scale at which local public decisions are made shapes how governments balance those local costs against the metropolitan gains from economic renewal. Direct evidence on firm-specific local policies and institutional reforms that alter jurisdictional fragmentation would be especially valuable for determining which mechanisms matter most and for evaluating the welfare consequences of local government organization.

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